

Trading the Tape on News

A practical tutorial on the market-moving events traders watch, and how intermediate to advanced traders set up technical trades around them.

- Event list: earnings, forward guidance, FOMC, CPI/PPI/PCE, payrolls, GDP, ISM, retail sales, crude oil, FDA/M&A, and other catalysts.
- Technical trade templates: gap-and-go, gap fade, break/retest, AVWAP reclaim, opening-range breakout, second-reaction trades, and post-event drift.
- Audience: intermediate to advanced discretionary traders in liquid stocks, ETFs, futures, and options.

Educational use only

News trading is high-velocity, high-slippage, and unforgiving. This guide is a process document, not a signal service or a recommendation to buy or sell any security.

Prepared

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Focus

Intermediate to expert

What is inside

- A compact event list you can keep as a PDF reference.
- Step-by-step technical playbooks for earnings, guidance, FOMC, inflation, jobs, growth, energy, and other catalysts.
- Intermediate versus expert workflow, setup templates, risk rules, and an event journal template.

1. How traders actually think about news

News trading is less about whether a headline sounds good or bad and more about whether the information differs from consensus, how much was already priced in, and whether price can hold beyond important levels after the first burst of algorithmic activity.

Intermediate traders usually do best by simplifying the process: trade one liquid instrument, reduce size, wait for confirmation, and use only the cleanest technical templates. More advanced traders can add cross-asset confirmation, relative strength, options expected move, and anchored VWAPs from the actual event time.

FIVE PRINCIPLES THAT MATTER MORE THAN THE HEADLINE

Principle	How to think about it
Surprise beats headline	Markets react to the gap between the reported number and consensus, not to whether the headline sounds good or bad in isolation.
Context beats absolutes	A strong jobs report can be bullish in a growth scare and bearish in an inflation scare. The same number can trade differently in different regimes.
Follow-through beats first impulse	The first spike is often dominated by algorithms and thin liquidity. Many of the cleanest trades occur on the retest after the market shows acceptance.
Price acceptance matters	A level is meaningful only if price can hold above or below it with volume, time, and cross-asset confirmation.
Reduce complexity under stress	Intermediate traders do better with one instrument, one setup, and smaller size. Expert traders add layers only when they can still execute cleanly.

A REPEATABLE WORKFLOW

Step	Action
1. Plan before the event	Know the consensus, whisper risk, key levels, instrument liquidity, and at least three scenarios: stronger, weaker, and inline.
2. Read the surprise	Ask what changed versus expectations, which asset should lead, and whether the market is treating the release as growth-positive, inflation-positive, or policy-relevant.
3. Let the market form structure	Avoid the first burst of randomness. Wait for a one- to five-minute balance, an opening range, or a clear retest.
4. Execute only a clean template	Break/retest, VWAP or AVWAP reclaim, failed move back into range, or post-event drift. If the setup is messy, skip it.
5. Manage risk mechanically	Use smaller size, structure-based stops, predetermined scale-out levels, and a hard rule for when to stand down.

Core technical toolkit

- Higher-time-frame levels: weekly and daily support/resistance, prior earnings highs/lows, and major trend lines.
- Session map: previous day high/low/close, overnight high/low, premarket high/low, cash open, and opening range.
- VWAP and anchored VWAP (AVWAP): anchor one AVWAP to the exact event time and a second to the cash open.

Additional confirmation tools

- Volume and participation: relative volume, tape speed, breadth, and sector ETF confirmation.
- Volatility context: ATR, options expected move, spread width, and whether the event is occurring inside or outside normal range.
- Cross-asset confirmation on macro days: 2-year Treasury yield, 10-year yield, DXY, crude oil, gold, and key sector ETFs.

Rule of thumb for timing

- The first move is often information plus thin liquidity. The better move is often information plus structure.
- When in doubt, wait for a retest of the overnight range, VWAP, AVWAP, or the opening range before committing size.

2. Common news events traders trade upon

This is the compact list for quick reference. The rows below summarize what typically matters, what market often reacts first, and what technical framework traders commonly use.

EVENT LIST - PART 1

Event	What matters most	Best markets	Technical framework
Earnings release and conference call	EPS, revenue, margins, free cash flow, guide, tone on the call	Single stock, sector ETF, index if mega-cap	Gap-and-go above premarket high + VWAP, or failed gap below VWAP for a fade
Forward guidance, pre-announcement, analyst day	Revenue/EPS guide revisions, backlog, bookings, capex, demand commentary	Single stock, peers, sector ETF	Trade the re-pricing of the future, not the backward-looking beat
FOMC decision, SEP, and press conference	Rate decision, statement language, dot plot, growth/inflation projections, QT changes	Index futures, bonds, DXY, banks, tech	Use the pre-FOMC range and AVWAPs from statement time and press-conference time
CPI	Core and headline month-over-month, services, shelter, revisions, market pricing	Index futures, bonds, DXY, gold	Break/retest of overnight range with 2-year yield and DXY confirmation
PPI	Pipeline inflation, services and goods components, inflation pass-through	Index futures, bonds, sectors	Same as CPI but usually lower magnitude unless the surprise is large
PCE / Personal Income and Outlays	Fed-preferred inflation gauge, spending, income, saving behavior	Index futures, bonds, DXY	Trade only when the rate market gives a clean read

2. Common news events traders trade upon (continued)

EVENT LIST - PART 2

Event	What matters most	Best markets	Technical framework
Nonfarm payrolls / unemployment / wages	Payrolls, unemployment rate, average hourly earnings, revisions, labor-force participation	Index futures, bonds, DXY, cyclical sectors	Break/retest of overnight range or opening range once direction aligns
GDP	Headline growth, consumer spending, inventories, deflators, revisions	Index futures, bonds, dollar	Usually trade only if there is a large surprise and cross-asset confirmation
Retail sales	Headline sales, control group, consumer strength	Index futures, XLY, XRT, rates	Sector-led break/retest or VWAP reclaim once discretionary names confirm
ISM Manufacturing / Services PMI	Headline PMI, new orders, employment, prices paid	Index futures, sector ETFs, bonds	Expect a second reaction around 10:00 a.m. ET; use opening-range and VWAP structures
EIA crude inventories / OPEC headlines	Crude, gasoline, distillates, refinery utilization, policy rhetoric	CL, XLE, refiners, transport	Break/retest of the release bar only if commodity and energy equities agree
FDA, M&A, regulatory, legal, antitrust	Binary approvals, deal terms, odds of completion, litigation outcomes	Single stocks, pairs, sector sympathy	Wait for spreads to normalize; favor liquid names and ETF sympathy trades
Treasury auctions, refunding, major policy speeches, Beige Book	Supply, demand, term premium, policy tone, regional growth anecdotes	Rates, dollar, banks, growth	Use rates first; equity trades should follow confirmed bond-market direction

The biggest mistake on news days

- Traders often react to the absolute headline and ignore what the market had already priced in. A 'good' number can sell off if it was not good enough, and a 'bad' number can rally if it was less bad than feared.

3. Pre-event planning: build the map before the number hits

The quality of a news trade is mostly decided before the event. Your plan should tell you what would make you long, what would make you short, and what would keep you flat.

Your pre-event worksheet

- Write the consensus and the likely market expectation. 'Consensus' and 'priced in' are not always the same thing.
- Mark higher-time-frame levels, previous day high/low, overnight range, premarket range, and the opening-range plan.
- Decide which market should lead: the stock itself, a sector ETF, index futures, short-end yields, DXY, or crude.
- Know where you will anchor AVWAPs: release time, cash open, and sometimes the conference-call or press-conference start.
- Choose your templates in advance: break/retest, gap hold, gap fade, reclaim, second reaction, or post-event drift.

INTERMEDIATE VERSUS EXPERT WORKFLOW

Dimension	Intermediate trader	Advanced trader
Universe	One liquid instrument at a time: SPY/QQQ/ES/NQ or the event stock only.	Will rotate among the lead instrument, sector ETF, rates, FX, and peers.
Timing	Usually waits for the first balance or the first pullback after the open.	May trade the release itself, but only with rehearsed scenarios and fast confirmation.
Confirmation	VWAP, premarket high/low, opening range, relative volume.	Adds AVWAPs, options expected move, rate and FX confirmation, breadth, and sector relative strength.
Entries	Prefers break/retest, gap hold, gap fade, or VWAP reclaim.	Adds second-reaction trades, pair trades, basket trades, and post-event drift.
Risk	Smaller size, fewer attempts, hard stop outside structure.	Similar discipline, but adjusts exposure across instruments instead of merely adding more size.
Review	Journal the setup, entry, stop, target, and one lesson.	Reviews what was priced in, how the cross-asset map evolved, and whether the edge came from information, timing, or structure.

Position sizing rule

- Event volatility expands stops and slippage. Many traders deliberately cut size to 30%-70% of normal and use a structure-based stop instead of trying to trade the same size as a normal day.

4. Earnings and forward guidance

For single stocks, earnings season is the most traded fundamental catalyst. The market usually cares more about the next quarter and the next fiscal year than the quarter that just printed.

What matters most

- The market usually cares more about the next quarter and the next fiscal year than about the quarter that just printed.
- Guide changes, margin durability, free cash flow, order trends, backlog, user or subscriber metrics, capex plans, and buybacks often matter more than the EPS headline.
- Conference-call language can completely change the initial reaction. Treat the call as a second catalyst.

Common traps

- Trading EPS only and ignoring the guide.
- Shorting a genuine guide-up because the gap 'looks too big.'
- Forgetting that the conference call can reverse the first move.

Intermediate setup

- Before the release, mark the prior day high/low, the premarket high/low, the nearest daily resistance/support, and the options-implied move.
- If the stock gaps up, holds above the premarket high, and rides above VWAP, buy the first orderly pullback or the first breakout-and-retest. Invalidate below VWAP, the pullback low, or the opening-range low.
- If the stock gaps up but immediately loses VWAP and fails to reclaim it, the cleaner trade is often the gap fade toward the prior close or a nearby support zone.
- If the release is after hours, consider whether the better setup is the next morning rather than the initial thin-liquidity reaction.

Expert layer

- Compare the realized move to the options expected move. A strong beat that moves less than what was priced can still trend if the guide is better than feared and peers confirm.
- Anchor one AVWAP to the release time and another to the cash open. If price holds both, that is stronger than a simple gap above VWAP.
- Watch the sector ETF and peer sympathy. The best single-stock trades often become better when the whole group reprices in the same direction.
- Respect post-earnings drift: if day one closes near the high and never loses AVWAP, day-two continuation can be cleaner than the day-one chase.

Forward guide outranks backward beat

- Forward earnings and revenue expectations are often the real event. A company can beat the quarter and still sell off if the guide is soft.
- Look for revisions to demand commentary, margin expectations, capital spending, pricing power, backlog, and customer health.
- Treat the guidance level as a new reference zone: failed reclaim is bearish, while a washout and reclaim can become a reversal setup.
- Pair the winner and loser in the same group when the revision changes relative expectations across the sector.

5. FOMC, central-bank communication, and rates-led news

On policy days, the rates market often gives the clearest first read. Equity traders who ignore short-end yields and the dollar are often trading half-blind.

What matters most

- The event is not just the rate decision. The statement, the Summary of Economic Projections, balance-sheet policy, and the press conference can each create separate trades.
- The bond market usually gives the cleanest first read. In many cases, the 2-year Treasury yield and DXY tell you whether the release is truly hawkish or dovish.
- The key question is: did the Fed change the expected path of policy more than the market had priced?

Common traps

- Fading a move while bonds and the dollar fully confirm it.
- Ignoring the dot plot or projection changes because the headline rate decision matched expectations.
- Holding oversized positions through both statement and Q&A.

Intermediate setup

- Avoid the first burst around the statement and the first burst of the press conference. Mark the pre-FOMC range, session VWAP, and the nearest higher-time-frame levels.
- If the market accepts above the pre-FOMC high and holds there while short-end yields soften, buy the first pullback to VWAP or AVWAP. If it accepts below the pre-FOMC low with yields rising, short the retest.
- Treat 2:00 p.m. ET and 2:30 p.m. ET as separate catalysts. A reversal during the press conference is common.

Expert layer

- Build a scenario tree before the event: hawkish surprise, dovish surprise, and inline with a rhetorical twist. Decide which market should lead in each scenario.
- Use two anchored VWAPs: one from statement time and one from the press conference start. Whichever AVWAP controls price after the second reaction often defines the session's trend.
- Watch leadership shifts: when the reaction is truly dovish, duration-sensitive growth tends to outperform. When it is hawkish, short-duration or value pockets can hold up better.

Why traders split the event in two

- The statement can create the first impulse, but the press conference can replace it. Treat the statement AVWAP and the press-conference AVWAP as separate battle lines.

6. Inflation news: CPI, PPI, and PCE

Inflation releases are usually traded through the bond market first, then through equity-index futures, rate-sensitive sectors, the dollar, and sometimes gold.

What matters most

- CPI, PPI, and PCE are usually traded relative to consensus and to the current policy narrative.
- Core month-over-month prints, services inflation, shelter or supercore discussion, and revisions are often more market-relevant than the broad yearly headline alone.
- The same inflation surprise can create different equity reactions depending on whether the market is more worried about inflation, growth, or financial conditions.

Common traps

- Trading against the 2-year yield without a clear reason.
- Reading only the headline CPI number and ignoring core or key components.
- Oversizing because the first move 'looks obvious' in thin liquidity.

Intermediate setup

- Before 8:30 a.m. ET, mark the overnight high/low, the prior day high/low, and the nearest weekly level.
- Hot print plus rising 2-year yield plus DXY strength: short failed reclaims of the overnight low or AVWAP from the release. Cool print plus falling yields and softer DXY: buy holds above the overnight high or a clean VWAP reclaim.
- If the first move fully fails after the cash open, the reversal back into the pre-release range can be the cleaner setup than chasing the original impulse.

Expert layer

- Read the curve as well as the level of yields. A jump in the 2-year with a smaller response in the 10-year can signal policy repricing more than growth repricing.
- Compare the realized move with what options had priced. A tame move after a big options premium can favor post-event trend continuation once IV collapses.
- Layer sector rotation: hot inflation often pressures long-duration growth more than defensives or energy, while cool inflation can benefit rate-sensitive growth and small caps.

Simple translation for macro traders

- Hotter-than-expected inflation often means higher short-end yields, a firmer dollar, and pressure on long-duration growth.
- Cooler-than-expected inflation often means lower short-end yields, a softer dollar, and relief for rate-sensitive growth.

7. Jobs and growth data: payrolls, GDP, retail sales, and PMI

Economic data are contextual. Strong data can be bullish in a recession scare and bearish in an inflation scare. Read the regime before you read the chart.

What matters most

- For payrolls, the market usually reads payrolls, unemployment, wages, labor-force participation, and revisions together.
- For GDP, the composition matters: consumer spending, inventories, and deflators can change the market's interpretation.
- Retail sales and ISM data often matter through their implications for the consumer, pricing power, and the growth-versus-inflation mix.

Common traps

- Assuming 'good economic news' is automatically bullish for stocks.
- Ignoring revisions and composition.
- Forcing a trade when bonds and equities disagree.

Intermediate setup

- On payrolls, wait for alignment across index futures, short-end rates, and DXY. Trade a break/retest of the overnight range or the first clean opening-range breakout.
- On ISM or other 10:00 a.m. releases, use VWAP and the opening range more heavily because the market already has cash-session liquidity.
- On retail sales, look for confirmation in discretionary and retail ETFs before assuming the index move is real.

Expert layer

- Ask which regime is live: inflation scare, recession scare, or soft-landing optimism. Strong jobs can be bearish when the market fears tighter policy and bullish when the market fears recession.
- Read revisions and wages carefully. A lower headline payroll print paired with cooler wages can be interpreted very differently from a lower payroll print with sticky wage pressure.
- Use rates first, equities second. If the rate market fades the first reaction, the equity reaction often follows.

A useful question

- Is the market more worried about inflation or about growth right now? The answer changes how the exact same data print is traded.

8. Other catalysts worth trading - and when to stay selective

Some events are clean and liquid. Others are highly idiosyncratic, headline-driven, and hard to execute without wide spreads. Selectivity is part of the edge.

Energy: EIA inventories and OPEC headlines

- Intermediate: trade CL or XLE only when the release bar breaks cleanly and the retest holds. Stops should live outside the release bar, not inside the noise.
- Expert: watch crude, products, energy equities, and sometimes the dollar together. The best read often comes when commodity and equity responses align.

FDA, biotech, and binary approvals

- Intermediate: avoid illiquid names and enormous spreads. Waiting for a base or a failed move is often better than buying the first headline spike.
- Expert: watch sector sympathy, options repricing, and whether the catalyst changes the long-term value of the pipeline or only the short-term trade.

M&A, antitrust, regulatory, or legal decisions

- Intermediate: focus on liquid targets, acquirers, or sector ETFs after spreads normalize. Deal headlines can be too wide for clean technical execution at first.
- Expert: pair the target and acquirer, track deal odds, and use sector sympathy when the decision changes industry structure.

Treasury auctions, refunding, Beige Book, central-bank speeches, and fiscal headlines

- Intermediate: prefer index or sector ETF trades instead of isolated stock trades, and let the rates market lead.
- Expert: treat these as cross-asset events. Sometimes the cleaner trade is in bonds or the dollar, with equities as a secondary expression.

Geopolitical shocks, tariffs, sanctions, or conflict headlines

- Intermediate: trade the liquid expression of risk-on or risk-off, not the noisiest single name. Think index futures, defense, gold, oil, or broad sector ETFs.
- Expert: build a basket view - bonds, dollar, gold, oil, defense, semis, shipping, and regional exposure - rather than assuming one headline creates one straight-line trade.

A practical filter

- If the spread is too wide, the options are too illiquid, or the lead market is unclear, the better trade is often no trade.

9. Core technical trade templates for news days

The cleaner the catalyst, the fewer templates you need. Most discretionary news traders make the bulk of their money from a small number of repeated patterns.

TEMPLATES - PART 1

Template	How to execute it
Gap-and-go	Use after a favorable surprise when price holds above premarket resistance and VWAP with strong relative volume. Enter on the first orderly pullback or on a breakout-and-retest above premarket high. Stop below VWAP, pullback low, or opening-range low. Targets: measured move, expected-move extension, or the next daily resistance.
Gap fade	Use when a gap opens into supply, loses VWAP quickly, and fails to reclaim the breakdown level. Enter on the failed reclaim of VWAP, the premarket low, or the opening-range low. Stop above the failed reclaim. Targets: prior close, partial gap fill, or the next support shelf.
Break/retest after a macro release	Use when overnight range breaks with confirmation from rates and FX. Enter on the retest of the broken level or the release-time AVWAP once the market shows acceptance. Stop back inside the range. Targets: prior day extremes, measured move, or a higher-time-frame level.

TEMPLATES - PART 2

Template	How to execute it
VWAP or AVWAP reclaim	Use when the first knee-jerk move fails and price reclaims the event anchor with improving breadth and volume. Enter on reclaim plus a higher low (for longs) or lower high (for shorts). Stop just back through the reclaim zone. Targets: midpoint and opposite side of the event range.
Second-reaction trade	Use when new information arrives after the initial headline: conference call, FOMC press conference, revised guidance, or analyst commentary. Enter only after price accepts beyond the second catalyst's AVWAP or range edge. Stop under the second-reaction pivot. Targets: trend continuation into the close.
Post-event drift	Use on day two when day one closed near the extreme and held AVWAP throughout the session. Enter on a break of the prior day high/low or on a pullback that holds the event AVWAP. Stop back into the prior day's balance area. Targets: swing levels and continuation channels.

One clean trigger is enough

- Intermediate traders do not need six indicators on an event day. One clear level, one clean retest, and one obvious invalidation are enough.

10. Risk management and the mistakes that ruin news trades

The edge in news trading comes from information plus structure. The blow-up risk comes from leverage plus urgency. Process has to beat emotion.

Risk-control rules

- Cut normal size around catalysts. Many traders use 30%-70% of ordinary size because volatility and slippage expand.
- Place stops outside structure, not inside the release bar's noise pocket.
- If the spread is too wide for your planned stop, you do not have a trade; use the sector ETF or index instead.
- Avoid averaging into a fast loser on headline days. News can keep repricing longer than a normal mean-reversion move.
- If you take two poor-quality news trades in one session, shut the strategy down and review instead of forcing more attempts.
- Journal the event, the surprise, the leader asset, the setup, and the mistake or lesson immediately after the trade.

MISTAKES TO AUDIT IN YOUR JOURNAL

Common mistake	Better fix
Trading the headline, not the surprise	Write down consensus before the event and compare the release to that number, not to your intuition.
Chasing the opening print	Wait for a retest, balance, or reclaim. The best location usually appears after the first burst.
Using stops inside noise	Place the invalidation beyond the event bar, the opening range, or the reclaim zone.
Ignoring the second catalyst	Conference calls, press conferences, and revised guidance can overturn the first move.
Trading a single illiquid stock	If spreads are wide, use the sector ETF, index future, or wait for liquidity to improve.
Oversizing because conviction feels high	High conviction plus high volatility still requires smaller size and tighter process discipline.

When not to trade

- No clean leader market, no clean level, no clean stop, or a spread that makes your plan impossible. Standing aside is a trading decision.

11. Event journal template

A good journal turns each catalyst into repeatable knowledge. On news days, the lesson is often not whether you were right on direction; it is whether you read the reaction correctly and executed the right structure.

WHAT TO CAPTURE AFTER EACH TRADE

Field	What to record
Event and timestamp	Name of catalyst, exact release time, and whether it occurred premarket, intraday, or after hours.
Consensus and whisper	Street expectation, any widely discussed whisper number, and what the market seemed priced for.
Actual surprise	What beat or missed, and which component really mattered.
Lead market	Stock, sector ETF, 2-year yield, DXY, crude, or another market that led the reaction.
Key levels	Previous day high/low, overnight range, premarket range, VWAP, AVWAP, opening range, daily resistance/support.
Setup	Gap-and-go, gap fade, break/retest, AVWAP reclaim, second-reaction trade, or post-event drift.
Execution	Entry, stop, targets, size, and whether slippage changed the plan.
Result and lesson	Outcome in R multiples and one sentence on what to repeat or avoid next time.

A useful post-trade prompt

- What was the real surprise, which market led the reaction, and did I wait for acceptance beyond a level or did I chase the first spike?

12. Official calendars and primary sources

When possible, start with the primary release source. The official page tells you what is actually being released, when it is scheduled, and whether a revised release calendar is in effect.

Source	Why it matters	Official page
Federal Reserve FOMC calendar	Meeting dates, statements, minutes, projections, press conferences	Open link
Federal Reserve Beige Book	Regional anecdotal growth and inflation color ahead of policy meetings	Open link
BLS CPI release pages	Headline and core inflation releases and schedule	Open link
BLS PPI release pages	Pipeline inflation and price transmission data	Open link
BLS Employment Situation	Payrolls, unemployment, wages, revisions, participation	Open link
BEA GDP	Quarterly growth, revisions, spending composition, deflators	Open link
BEA PCE / Personal Income and Outlays	Fed-preferred inflation gauge and consumer spending data	Open link
U.S. Census retail sales	Monthly retail trade and control-group consumer data	Open link
ISM PMI release calendar	Manufacturing and services PMI timing and reports	Open link
EIA Weekly Petroleum Status Report	Crude, gasoline, distillates, refinery utilization, release schedule	Open link
FDA Advisory Committee Calendar	Key biotech and healthcare event dates	Open link
SEC EDGAR and company IR pages	Official earnings releases, 8-Ks, 10-Qs, 10-Ks, and guidance disclosures	Open link

Consensus data sources

- Official release pages tell you what was released. For analyst consensus, options-implied move, and earnings calendars, use your broker, market-data platform, or trusted terminal, then cross-check with company investor-relations pages and SEC filings.

End of guide